Kazunari Tanabe

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DOCTORAL STUDIES

PhD in Economics, London School of Economics 2021-2027 (Expected)
- Supervisors: Matthias Doepke, Benjamin Moll

FIELDS

Macroeconomics, Economic Development

REFERENCES

Matthias Doepke
London School of Economics
m.doepke@lse.ac.uk

Benjamin Moll
London School of Economics
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Jane Olmstead-Rumsey
London School of Economics
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Rachel Ngai
London School of Economics
l.ngai@lse.ac.uk

PRIOR EDUCATION

MSc in Econometrics and Mathematical Economics, London School of Economics 2020-2021
MA in Economics, University of Tokyo 2017-2019
BA in Economics, Keio University 2012-2017
Visiting student, Carnegie Mellon University 2014-2015

JOB MARKET PAPER

"Not Worth Innovating For? Dynamic Lock-In of Agricultural Productivity Differences" 2026

Why are agricultural productivity differences across countries so large? I develop a dynamic general equilibrium model in which directed innovation locks poor countries into agricultural technologies suited to rich-country environments but inappropriate for their own. Small markets can make innovation in locally adapted technologies unprofitable. These technologies then fall further behind the frontier and lose market share, eventually leading farmers to adopt inappropriate but frontier technologies. This dynamic lock-in is inefficient, because most gains from improving locally adapted technologies accrue to households and future innovators, and missing intertemporal markets prevent the innovator from appropriating them. Calibrating the model to Tanzania and the US, I find that directed innovation since 1982 contributes to their agricultural productivity difference by 42 percent in 2017. An R&D subsidy for locally adapted technologies can narrow this difference and raise welfare in Tanzania even though its households finance it.

WORKING PAPERS

"Cross-Country Differences in the Impacts of Sectoral Shocks" 2026

The same sectoral shock can devastate a poor country and leave a rich one largely unaffected. I explain this contrast in a multisector model with input-output linkages and non-homothetic preferences, in which GDP and welfare respond differently to identical shocks. Calibrating the model to 80 economies, I find that a common agricultural shock produces median welfare losses 19.0 times larger in the poorest quartile of countries than in the richest, against a factor of 1.46 for GDP. The vulnerability of poor countries stems mainly from subsistence demand, and the role of production networks itself changes as countries develop.

"The Size-Centrality Relationship in Production Networks" with Nikola Dacic and Marko Melolinna 2026

Standard production network models with only technology shocks predict that industry size and centrality move in opposite directions. Yet in UK data, they co-move positively: larger industries are more central as input suppliers,

and industries that grow tend to become more central. We trace this tension to the elasticity of substitution across intermediate inputs: when it is below unity, as we estimate, technology shocks generate a negative size-centrality relationship. Demand-side shocks resolve the puzzle. Applying the framework to the UK post-2010 productivity slowdown, we find that manufacturing-specific shocks more than account for the slowdown, while common shocks partially offset it.

"Macroprudential Regulation, Financial Stability, and Economic Growth" 2023

How does macroprudential regulation affect economic growth and welfare? I develop an endogenous growth model in which financial crises arise from Fisherian debt deflation. A price-dependent collateral constraint and technological spillovers generate negative pecuniary externalities and physical capital externalities, respectively. I find that, for a wide range of parameter values, macroprudential regulation that corrects only these pecuniary externalities reduces economic growth. Such regulation also lowers welfare because the costs of slower growth outweigh the benefits of greater financial stability. Finally, I show that whether the decentralized economy exhibits over- or underborrowing and over- or underinvestment depends on the relative distortions in capital demand and supply induced by the two externalities.

WORK IN PROGRESS

"Informality and the Job Ladder in Developing Countries" with Matthias Doepke 2026

PRESENTATIONS

Midwest Macro, Keio University, National Graduate Institute for Policy Studies, University of Osaka 2026
Bank of England, London Macro PhD Workshop 2025

REFEREE SERVICES

Journal of the European Economic Association, Economica, Economics Letters

GRANTS, HONORS, AND AWARDS

STEG PhD Research Grant, £15,000 2026-2027
STEG PhD Research Grant, £12,000 2024-2025
Teaching Award (Highly commended), LSE 2024
Scholarship, Japan Student Services Organization 2020-2024
Scholarship, Center for Research and Education in Program Evaluation, University of Tokyo 2018-2019

TEACHING

Teaching Assistant for EC413 - Macroeconomics (Graduate), LSE 2023-2026
Teaching Assistant for EC2B1 - Macroeconomics II (Undergraduate), LSE 2022-2023
Teaching Assistant for EC400 - Introductory Course in Mathematics and Statistics (Graduate), LSE 2022-2025
Teaching Assistant for Computational Tools for Macroeconomists Summer School (Graduate) 2022-23, 25

RELEVANT POSITIONS

Visiting Researcher, Keio University 2025
PhD Intern, Bank of England 2024-2025
Research Assistant to Professor Matthias Doepke, LSE 2024-2026
Research Assistant to Professor Benjamin Moll, LSE 2022-2024

LANGUAGES

Japanese (native), English